followed these trade agreements. [15] Much hinged on the outcome of the Regional Comprehensive Economic Policy (RCEP) negotiations that would have included not just ASEAN, Japan, South Korea and India, but also China, Australia and New Zealand. As negotiations progressed, India believed that its own concerns—such as mobility and rules of origin—were systematically sidelined, and that ultimately Indian interests would have suffered from joining. Concerns about the widening trade deficit with China played a particularly strong role.

But after refusing to join RCEP, India reoriented its trade negotiations, concluding a succession of deals with Mauritius, the United Arab Emirates, and an interim trade agreement with Australia. It also signed an agreement with a group of four non-EU European economies: Norway, Iceland, Switzerland and Liechtenstein. That agreement included investment provisions that made such an agreement more attractive to India. Overall, India's trade strategy has attempted to improve market access to complementary advanced economies from which India's exports can benefit. Negotiations were consequently revived with, among others, the United Kingdom, Canada and European Union.

Still, India will need to continue to take steps to improve conditions for its industrial policy. These include creating regulatory and customs predictability, improving logistics, expediting legal arbitration and increasing workforce skills. Sustained outreach to the large and successful Indian diaspora—which can often act as bridges between foreign economies and India's ecosystem—is also necessary. In recent years, foreign investors have been appreciative of India's macro stability; its fiscal health; its infrastructure spending; favourable demographics; increased digital payments; large science, technology and engineering workforce; greater financial inclusion; and growing start-up ecosystem. There have also been some efforts at improving policy predictability and exit paths for investors. While currency depreciation is a concern, foreign investors are learning to factor that in. Their major concerns remain the long duration of legal disputes, inadequate skill development, lack of Centre–State government coordination, and insufficient private capital expenditure.